

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores

Large Cap (>\$200B) · Report Date: October 05, 2026

Latest financials: Q1 FY2026 · Model data as of 2026-10-05

UNDERWEIGHT

Composite · Valuation: SELL

Target \$88.60 · -15.7% upside

Price \$105.07

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$88.60 (-15.7% vs \$105.07); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Moderate revenue expansion (5.9% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT \$88.60	45%
FSA	Stable	Health +0.00 · Stable	20%
Technical	BEARISH	Bearish	20%
Quantitative	POSITIVE	Score +0.45 · 12m +4%	15%
Composite	UNDERWEIGHT	Score -0.28 · 50% confluence	—

Fundamental and technical both bearish.

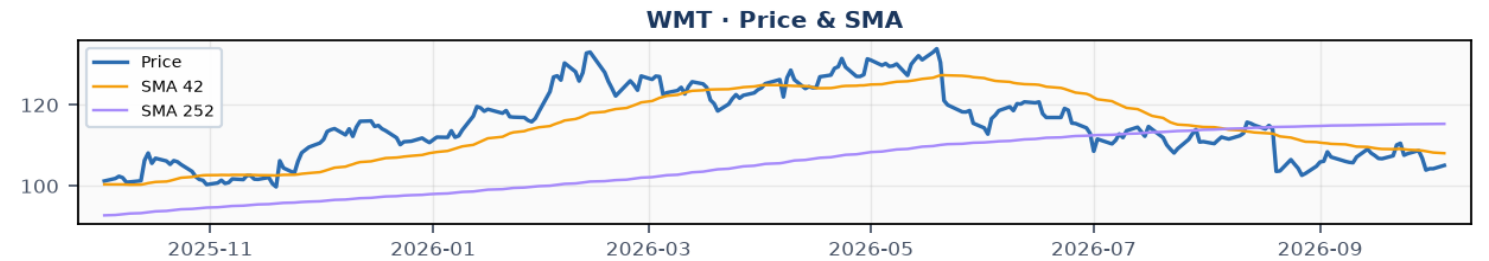
INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **SELL** rating; blended target \$88.60. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$836.16B	Shares Out.	7958.1M
52-Week Range	\$98.88 – \$135.16	P/E (TTM)	38.1x
P/B	8.5x	Beta	0.58
Avg Volume	23.81M	Analyst Rec.	Buy
Revenue (TTM)	\$735.84B	Rev Growth	+5.9%
Op. Margin	3.5%	FCF (TTM)	\$14.92B
Gross Margin	24.8%	ROE	22.3%
EV/EBITDA	20.4x	Debt/Equity	71.7%
EPS (TTM)	\$2.76	Div Yield	95.0%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	680,985	713,163	755,240	792,095	825,094
Revenue Growth (%)	N/A	4.7%	5.9%	4.9%	4.2%
Net Income (\$M)	19,436	21,893	23,185	24,316	25,329
Gross Margin (%)	24.9%	24.9%	24.8%	24.8%	24.8%
Net Margin (%)	2.9%	3.1%	3.1%	3.1%	3.1%
EPS (\$)	2.44	2.75	2.91	3.06	3.18
P/E (x)	43.02	38.19	36.06	34.39	33.01

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$108.08	Short-term trend	12m Momentum	+3.8%	
SMA (252d)	\$115.33	Long-term trend	3m Momentum	-6.9%	
RSI (14d)	40.1	Momentum oscillator	Ann. Volatility	22.5%	
Trend	Bearish		Sharpe Ratio	0.69	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-25.7%	
Death Cross (20d)	No		Rel. Strength vs SPY	+53.3%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$108.08, SMA252=\$115.33	Quant Score	+0.45	POSITIVE
			SMA Backtest (ann.)	24.3%	B&H; 25.7%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$81.93	-22.0%	32%	Included in blend
Comps — Blended	\$81.82	-22.1%	53%	Included in blend
Analyst consensus	\$126.78	+20.7%	15%	Included in blend
Blended target	\$88.60	-15.7%	100%	DCF 32% + Comps 53% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	4.00%	12.00%	\$652.02B	\$81.93	-22.0%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
COST	Costco Wholesale Corpo	\$409.37B	44.5x	27.5x	3.0%	+11.1%
TGT	Target Corporation	\$69.50B	15.9x	9.9x	4.1%	+5.3%
DG	Dollar General Corpora	\$26.32B	15.5x	11.3x	3.9%	+5.2%
DLTR	Dollar Tree, Inc.	\$21.24B	13.8x	11.0x	8.0%	+7.0%
WMT*	Walmart Inc.	\$836.16B	38.1x	20.4x	3.0%	+5.9%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Moderate revenue expansion (5.9% YoY); Defensive profile (β=0.58); Sector: Consumer Defensive | Industry: Discount Stores · Risks: Standard sector cyclicality and macro exposure Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.